

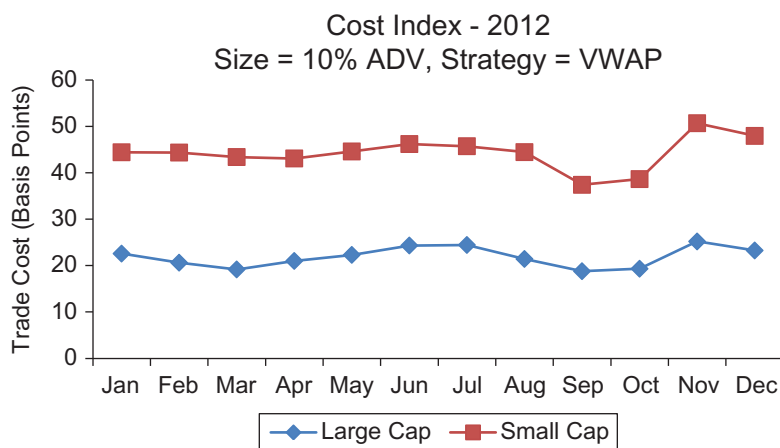
however, is that the actual shares to transact are dependent on price levels. For example, investing \$10 million when prices are high will result in fewer shares to purchase and lower cost and investing \$10 million when prices are low will result in more shares to purchase and higher costs. The price level will cause the trading costs to be higher or lower even if the investment value and market conditions remain unchanged.

Shares. The share quantity cost basis is most often used when computing cost indexes for individual stocks. This works well for the individual stock and trading over time since it is not dependent upon overall volume levels, but it makes it difficult to compare the cost of trading across different stocks with different prices. For example, a one million share order of IBM represents a fairly large percentage of overall daily trading volume but a one million share order of MSFT represents a much smaller percentage of daily trading volume. Therefore, these costs will likely be much different for the same share quantity. This is helpful for managers evaluating the acquisition cost of a position and a future liquidation cost for the same number of shares.

Cost Strategy

When constructing the cost index we must also specify the underlying trading strategy. For example, a passive strategy (e.g., VWAP) will incur lower costs than an aggressive (e.g., POV = 20%). It is important when we calculate the cost index that we use a constant strategy for consistency.

The cost index for 2012 is illustrated for two different scenarios. [Figure 12.1](#) illustrates the trading cost index in 2012 for an order size of 10% ADV



■ **Figure 12.1** Cost Index 2012.